

PORTFOLIO INSURANCE—NOT!

Another hailed innovation of modern finance was portfolio insurance. This concept was developed by several finance professors who said investors should increase their long exposure when markets move up quickly and decrease their long exposure when markets drop quickly. This is supposed to create an effect similar to derivatives hedging. However, anyone with much practical experience could sense this might not be a good idea, since markets are short-term mean reverting. More often than not, they overreact to information, then reverse.

The public often reacts incorrectly by selling into weakness and buying into strength. Portfolio insurance does the same thing. For those who remember when they were the main sources of short-term market liquidity and price stabilization, stock exchange specialists and floor traders made a good living doing the opposite of portfolio insurers while trading against the public.

October 19, 1987, was the single worst day in stock market history. The S&P 500 dropped by 22% that day and by over one-third in a day and a half. Portfolio insurance reinforced that selling pressure. The 1988 Presidential Task Force on Market Mechanism, also known as the Brady Report, concluded that one-third of the selling that day was related to portfolio insurance. Portfolio insurance helped turn a market correction into a full-scale panic. Portfolio insurers packed up their bags following this market collapse and subsequent rebound (“mean reversion happens”) that gave them large whipsaw losses.

It also did not help advance the cause of efficient markets that prices could reflect values 20% lower than they had been just one day earlier. It was hard to say over both those days that the “Price Is Right.”

Belief in self-adjusting, rational markets may bear some responsibility for the global financial crisis of 2007–2008. As Paul Volcker said, “It’s clear that among the causes of the recent financial crises was an unjustified faith in rational explanations and market efficiencies.” Others have blamed the efficient market hypothesis for indifference to “irrational exuberance” and chronic underestimation of the dangers of asset bubbles breaking. Perhaps Volcker made some sense when after the last financial crisis he said that the